

CHAPTER – 3

VICARIOUS LIABILITY

Respondeat superior, which literally means “let the master answer,” is a doctrine that holds one party liable for another’s actions based on their relationship. While commonly applied to hold employers responsible for certain types of their employees’ actions, this doctrine can also be relevant in principal/agent relationships. Simple negligence claims (e.g., negligent hiring, negligent entrustment of an automobile) may also apply in these relationships.

BASIS FOR THIS LIABILITY

- Qui facit per alium facit per s” - One who acts through another acts for himself.
- Respondant Superior- Let the superior be held liable

(1) Employee/employer relationships

An employer is vicariously liable for the acts of an employee as long as the employee’s acts are in the scope of employment. Thus, when an employee acts to further the employer’s business, the employer will be vicariously liable (even for intentional torts). However, if the employee commits an intentional tort for purely personal reasons unrelated to the employment, most jurisdictions will not hold an employer vicariously liable.

Mersey Docks & Harbour Board v/s Coggins & Griffith Ltd. - A general employer transferred his crane and crane driver. The special employer used the crane for certain purpose. While this crane is being used for special employer. It meets with an accident. Now question arised whether special employer will beliable or general employer?

Court held- Here General Employer will be liable and not Special Employer:
It was a temporary arrangement

Crane is a sophisticated machine and transfer of crane without crane driver willbe useless (it needs special driver)

Even at that time he was receiving salary from General Employer.

So in this case general employer is the employer.

Beard v/s London General Omnibus Co. – Conductor driver on his own initiative in the absence of the driver. Master was not held liable for negligence of conductor as he was not authorized to drive the vehicle. It is not negligence of driver, so again master is not liable

Sitaram Motilal Kalal v/s Santanu Prasad – Master gives a vehicle to diver to play it as taxi. Driver keeps a cleaner. Driver wanted to train cleaner as driver so that master’s income could be doubled. Driver started training him. Cleaner goes for driving test. He meets with an accident while driving for test

(2) Independent Contractor

An independent contractor is one who undertakes to produce a given result, without being in any way controlled as to the method by which he attains that result.

Pickard v/s Smith - If such independent contractor is employed to do a lawful act, and in the course of the work he or his servants commit some casual act of wrong or negligence, the employer is not answerable.

CONTRACT OF SERVICE AND CONTRACT FOR SERVICE

In the case of Short V. J W Henderson, 1946, it was observed that there must be contract of service between master and servant relationship which must indicate the following :-

1. The master's power of selection of the servant.
2. Payment of wages.
3. Master's right to control and direct the mode, method and manner of doing work. However, it depends on facts and circumstances of each case. For e.g.: - In case of Pilot and Captain of the ship.
4. Suspend and dismiss the servant.

In order to decide who is the servant the control test is generally invoked by the courts. A person is said to be the servant of the other if he works under the control of such other. It implies ordering the servant what is to be done, how it is to be done and when it is to be done. A servant is employed under a contract of service whereas independent contractor is engaged in contract for service. According to Dr. Winfield vicarious liability arises from a contract of service and NOT contract for service.

(3) Company and Directors

Companies are liable for torts committed by their servants in the course of their employment. But the wrongful act complained of should be intra vires and not ultra vires, and should be done for the company.

(4) Firm and Partner

The relation of partners inter se is that of principal and agent, and each partner is, therefore, liable to third person for the neglect or fraud of his fellow-partner.

The neglect or fraud complained of must have been committed in the ordinary course of the partnership business; and while a partner is acting within the scope of his authority.

VICARIOUS LIABILITY OF STATE

Before 1947, principle of feudalistic society, the "**King can do no wrong**" was unchallenged. The reason was that how can a lawmaker be judged by his own servants and courts. Thus he could not be sued for his own Acts, much less could be sued for the Acts of his servants.

After 1947, this traditional law in England was greatly altered and modified by Crown Proceeding Act, 1947. The Crown is now liable as an ordinary citizen, and is bound by the principle of vicarious liability for breach of any statutory duty and by the law of indemnity and contribution between joint tortfeasors.

Act of State

It is the "Act of an executive as a matter of policy performed in the course of its relations with another In some cases, a person

State, including its relations with the subject of that State, unless they are temporarily within the allegiance of the Crown."

Scope, Application and Cases

The Act of State is not confined to the seizure of property only; it may extend to the seizure of person as well.

Commandeering goods during war, making or repairing a military road, the administration of justice, improper arrests, negligence or trespass by police-officer in exercise of their statutory powers-these are all Acts in the course of exercise of the sovereign functions of the Government.

Distinction: Act of State and Governmental Acts

P.V. Rao v/s Khushaldas Advani

Chagla C.J. pointed out the distinction as under:-

"An Act of State is different fundamentals from an Act of sovereign authority. An act of State operates extra-territorially

Its legal title is not any municipal law but the overriding sovereignty of the State

It does not deal with the subjects of the State but deals with aliens or foreigners who cannot seek the protection of the municipal law.

It is difficult to conceive an Act of State as between a sovereign and his subjects

If Government justifies its Acts under colour of title and that title arises from a municipal law, that Act can never be an Act of State. Its legality and validity must be tested by municipal law and in municipal courts."

Peninsular & Oriental Steam Navigation Company v Secretary

In this case a servant of the plaintiff's company was proceeding on a highway in Calcutta driving a carriage. The accident was caused by the servant of the Government employed in the Government's dockyard in the Hooghly and one horse was injured. The Supreme Court held the Secretary of State for India liable for the negligence of his servants.(as an ordinary private individual.

Constitutional Provisions

Article 300 of the Constitution deals with suits and proceedings against the Government of India and the state in respect of tortious liability.